

1 UNITED STATES DISTRICT COURT  
2 CENTRAL DISTRICT OF CALIFORNIA  
3 SOUTHERN DIVISION

4 SECURITIES AND EXCHANGE  
5 COMMISSION,

6 Plaintiff,

7 vs.

8 GAUNTLET HOLDINGS, LLC and  
9 DARRELL W. RIDEAUX,

10 Defendants.  
11  
12

Case No. 8:25-cv-00492 DOC (DFMx)

**FINAL JUDGMENT AS TO  
DEFENDANTS GAUNTLET  
HOLDINGS, LLC AND DARRELL W.  
RIDEAUX**

13 WHEREAS, Plaintiff Securities and Exchange Commission (“Commission”)  
14 having filed a Complaint on March 13, 2025 ([ECF No. 1](#)); Defendants Gauntlet  
15 Holdings, LLC (“Gauntlet”) and Darrell W. Rideaux (“Rideaux” and, with Gauntlet,  
16 the “Defendants”) having answered the Complaint on June 27, 2025 (ECF Nos. 26-  
17 27); the Hon. Douglas F. McCormick having entered a Report and Recommendation  
18 detailing Defendants’ significant discovery failures on April 21, 2026 ([ECF No. 116](#));  
19 and the Court having approved and accepted the Report and Recommendation,  
20 granting the Commission’s request to enter default judgment against the Defendants  
21 pursuant to [Federal Rule of Civil Procedure 37\(b\)\(2\)\(A\)\(vi\)](#) as a terminating sanction  
22 for myriad discovery violations on May 6, 2026 ([ECF No. 129](#)), hereby finds that  
23 both Gauntlet and Rideaux have violated: (1) Section 10(b) of the Securities  
24 Exchange Act of 1934 (“Exchange Act”) [[15 U.S.C. § 78j\(b\)](#)] and Rule 10b-5  
25 thereunder [[17 C.F.R. § 240.10b-5](#)]; and (2) 17(a) of the Securities Act of 1933  
26 (“Securities Act”) [[15 U.S.C. § 77q\(a\)](#)], and orders as follows:

27 **I.**

28 IT IS HEREBY ORDERED, ADJUDGED, AND DECREED that Gauntlet is

1 permanently restrained and enjoined from violating, directly or indirectly, Section  
2 10(b) of the Exchange Act [15 U.S.C. § 78j(b)] and Rule 10b-5 promulgated  
3 thereunder [17 C.F.R. § 240.10b-5], by using any means or instrumentality of  
4 interstate commerce, or of the mails, or of any facility of any national securities  
5 exchange, in connection with the purchase or sale of any security:

6 (a) to employ any device, scheme, or artifice to defraud;

7 (b) to make any untrue statement of a material fact or to omit to state a  
8 material fact necessary in order to make the statements made, in the light  
9 of the circumstances under which they were made, not misleading; or

10 (c) to engage in any act, practice, or course of business which operates or  
11 would operate as a fraud or deceit upon any person

12 by, directly or indirectly, (i) creating a false appearance or otherwise deceiving any  
13 person, or (ii) disseminating false or misleading documents, materials, or information  
14 or making, either orally or in writing, any false or misleading statement in any  
15 communication with any investor or prospective investor, about:

16 (A) any investment strategy or investment in securities,

17 (B) the prospects for success of any product or company,

18 (C) the use of investor funds,

19 (D) compensation to any person,

20 (E) Gauntlet's qualifications to advise investors, or

21 (F) the misappropriation of investor funds or investment proceeds.

22 IT IS FURTHER ORDERED, ADJUDGED, AND DECREED that, as  
23 provided in Federal Rule of Civil Procedure 65(d)(2), the foregoing paragraph also  
24 binds the following who receive actual notice of this Judgment by personal service or  
25 otherwise: (a) Gauntlet's officers, agents, servants, employees, and attorneys; and (b)  
26 other persons in active concert or participation with Gauntlet or with anyone  
27 described in (a).  
28

II.

IT IS HEREBY FURTHER ORDERED, ADJUDGED, AND DECREED that Gauntlet is permanently restrained and enjoined from violating Section 17(a) of the Securities Act [[15 U.S.C. § 77q\(a\)](#)] in the offer or sale of any security by the use of any means or instruments of transportation or communication in interstate commerce or by use of the mails, directly or indirectly:

(a) to employ any device, scheme, or artifice to defraud;

(b) to obtain money or property by means of any untrue statement of a material fact or any omission of a material fact necessary in order to make the statements made, in light of the circumstances under which they were made, not misleading; or

(c) to engage in any transaction, practice, or course of business which operates or would operate as a fraud or deceit upon the purchaser by, directly or indirectly, (i) creating a false appearance or otherwise deceiving any person, or (ii) disseminating false or misleading documents, materials, or information or making, either orally or in writing, any false or misleading statement in any communication with any investor or prospective investor, about:

- (A) any investment strategy or investment in securities,
- (B) the prospects for success of any product or company,
- (C) the use of investor funds,
- (D) compensation to any person,
- (E) Gauntlet's qualifications to advise investors, or
- (F) the misappropriation of investor funds or investment proceeds.

IT IS FURTHER ORDERED, ADJUDGED, AND DECREED that, as provided in [Federal Rule of Civil Procedure 65\(d\)\(2\)](#), the foregoing paragraph also binds the following who receive actual notice of this Judgment by personal service or otherwise: (a) Gauntlet's officers, agents, servants, employees, and attorneys; and (b) other persons in active concert or participation with Gauntlet or with anyone

1 described in (a).

2 **III.**

3 IT IS HEREBY ORDERED, ADJUDGED, AND DECREED that Rideaux is  
4 permanently restrained and enjoined from violating, directly or indirectly, Section  
5 10(b) of the Exchange Act [[15 U.S.C. § 78j\(b\)](#)] and Rule 10b-5 promulgated  
6 thereunder [[17 C.F.R. § 240.10b-5](#)], by using any means or instrumentality of  
7 interstate commerce, or of the mails, or of any facility of any national securities  
8 exchange, in connection with the purchase or sale of any security:

- 9 (a) to employ any device, scheme, or artifice to defraud;  
10 (b) to make any untrue statement of a material fact or to omit to state a  
11 material fact necessary in order to make the statements made, in the light  
12 of the circumstances under which they were made, not misleading; or  
13 (c) to engage in any act, practice, or course of business which operates or  
14 would operate as a fraud or deceit upon any person

15 by, directly or indirectly, (i) creating a false appearance or otherwise deceiving any  
16 person, or (ii) disseminating false or misleading documents, materials, or information  
17 or making, either orally or in writing, any false or misleading statement in any  
18 communication with any investor or prospective investor, about:

- 19 (A) any investment strategy or investment in securities,  
20 (B) the prospects for success of any product or company,  
21 (C) the use of investor funds,  
22 (D) compensation to any person,  
23 (E) Rideaux's qualifications to advise investors, or  
24 (F) the misappropriation of investor funds or investment proceeds.

25 IT IS FURTHER ORDERED, ADJUDGED, AND DECREED that, as  
26 provided in [Federal Rule of Civil Procedure 65\(d\)\(2\)](#), the foregoing paragraph also  
27 binds the following who receive actual notice of this Judgment by personal service or  
28 otherwise: (a) Rideaux's officers, agents, servants, employees, and attorneys; and (b)

1 other persons in active concert or participation with Rideaux or with anyone  
2 described in (a).

3 **IV.**

4 IT IS HEREBY FURTHER ORDERED, ADJUDGED, AND DECREED that  
5 Rideaux is permanently restrained and enjoined from violating Section 17(a) of the  
6 Securities Act [[15 U.S.C. § 77q\(a\)](#)] in the offer or sale of any security by the use of  
7 any means or instruments of transportation or communication in interstate commerce  
8 or by use of the mails, directly or indirectly:

9 (a) to employ any device, scheme, or artifice to defraud;  
10 (b) to obtain money or property by means of any untrue statement of a  
11 material fact or any omission of a material fact necessary in order to  
12 make the statements made, in light of the circumstances under which  
13 they were made, not misleading; or  
14 (c) to engage in any transaction, practice, or course of business which  
15 operates or would operate as a fraud or deceit upon the purchaser  
16 by, directly or indirectly, (i) creating a false appearance or otherwise deceiving any  
17 person, or (ii) disseminating false or misleading documents, materials, or information  
18 or making, either orally or in writing, any false or misleading statement in any  
19 communication with any investor or prospective investor, about:

- 20 (A) any investment strategy or investment in securities,  
21 (B) the prospects for success of any product or company,  
22 (C) the use of investor funds,  
23 (D) compensation to any person,  
24 (E) Rideaux's qualifications to advise investors, or  
25 (F) the misappropriation of investor funds or investment proceeds.

26 IT IS FURTHER ORDERED, ADJUDGED, AND DECREED that, as  
27 provided in [Federal Rule of Civil Procedure 65\(d\)\(2\)](#), the foregoing paragraph also  
28 binds the following who receive actual notice of this Judgment by personal service or

1 otherwise: (a) Rideaux's officers, agents, servants, employees, and attorneys; and (b)  
2 other persons in active concert or participation with Rideaux or with anyone  
3 described in (a).

4 **V.**

5 **DISGORGEMENT, PREJUDGMENT INTEREST, AND CIVIL PENALTY**

6 IT IS FURTHER ORDERED, ADJUDGED, AND DECREED that  
7 Defendants, on a joint and several basis, are liable for disgorgement of \$842,500  
8 pursuant to Section 21(d)(5) and Section 21(d)(7) of the Exchange Act [15 U.S.C. §§  
9 78u(d)(5), 78(u)(d)(7)], representing ill-gotten gains as a result of the conduct alleged  
10 in the Complaint, together with prejudgment interest thereon in the amount of  
11 \$165,809, and a civil penalty in the amount of \$842,500 pursuant to Section 21(d)(3)  
12 of the Exchange Act [15 U.S.C. § 78u(d)(3)] and Section 20(d) of the Securities Act  
13 [15 U.S.C. § 77t(d)]. Defendants shall satisfy this obligation by paying \$1,850,809 to  
14 the Securities and Exchange Commission within 30 days after entry of this Final  
15 Judgment.

16 Defendants may transmit payment electronically to the Commission, which  
17 will provide detailed ACH transfer/Fedwire instructions upon request. Payment may  
18 also be made directly from a bank account via Pay.gov through the SEC website at  
19 <http://www.sec.gov/about/offices/ofm.htm>. Defendants may also pay by certified  
20 check, bank cashier's check, or United States postal money order payable to the  
21 Securities and Exchange Commission, which shall be delivered or mailed to:

22 Enterprise Services Center  
23 Accounts Receivable Branch  
24 6500 South MacArthur Boulevard  
Oklahoma City, OK 73169

25 and shall be accompanied by a letter identifying the case title, civil action number,  
26 and name of this Court; Gauntlet and Rideaux as defendants in this action; and  
27 specifying that payment is made pursuant to this Final Judgment.

28 Defendants shall simultaneously transmit photocopies of evidence of payment

1 and case identifying information to the Commission's counsel in this action. By  
2 making this payment, Defendants relinquish all legal and equitable right, title, and  
3 interest in such funds and no part of the funds shall be returned to Defendants.

4 The Commission may enforce the Court's judgment for penalties by the use of  
5 all collection procedures authorized by law, including the Federal Debt Collection  
6 Procedures Act, 28 U.S.C. § 3001, *et seq.*, and moving for civil contempt for the  
7 violation of any Court orders issued in this action. Defendants shall pay post  
8 judgment interest on any amounts due after 30 days of the entry of this Final  
9 Judgment pursuant to 28 U.S.C. § 1961. The Commission shall hold the funds,  
10 together with any interest and income earned thereon (collectively, the "Fund"),  
11 pending further order of the Court.

12 The Commission may propose a plan to distribute the Fund subject to the  
13 Court's approval. Such a plan may provide that the Fund shall be distributed  
14 pursuant to the Fair Fund provisions of Section 308(a) of the Sarbanes-Oxley Act of  
15 2002. The Court shall retain jurisdiction over the administration of any distribution  
16 of the Fund and the Fund may only be disbursed pursuant to an Order of the Court.

17 Regardless of whether any such Fair Fund distribution is made, amounts  
18 ordered to be paid as civil penalties pursuant to this Final Judgment shall be treated as  
19 penalties paid to the government for all purposes, including all tax purposes. To  
20 preserve the deterrent effect of the civil penalty, Defendants shall not, after offset or  
21 reduction of any award of compensatory damages in any Related Investor Action  
22 based on Defendants' payment of disgorgement in this action, argue that they are  
23 entitled to, nor shall he further benefit by, offset or reduction of such compensatory  
24 damages award by the amount of any part of Defendants' payment of a civil penalty  
25 in this action ("Penalty Offset"). If the court in any Related Investor Action grants  
26 such a Penalty Offset, Defendants shall, within 30 days after entry of a final order  
27 granting the Penalty Offset, notify the Commission's counsel in this action and pay  
28 the amount of the Penalty Offset to the United States Treasury or to a Fair Fund, as



1 the Commission directs. Such payment shall not be deemed an additional civil  
2 penalty and shall not be deemed to change the amount of the civil penalty imposed in  
3 this Final Judgment. For purposes of this paragraph, a “Related Investor Action”  
4 means a private damages action brought against either Gauntlet or Rideaux, or both,  
5 by or on behalf of one or more investors based on substantially the same facts as  
6 alleged in the Complaint in this action.

7 **VI.**

8 IT IS FURTHER ORDERED, ADJUDGED, AND DECREED that, solely for  
9 purposes of exceptions to discharge set forth in Section 523 of the Bankruptcy Code,  
10 11 U.S.C. § 523, the allegations in the complaint are true and admitted by Rideaux,  
11 and further, any debt for disgorgement, prejudgment interest, civil penalty or other  
12 amounts due by Rideaux under this Final Judgment or any other judgment, order,  
13 consent order, decree or settlement agreement entered in connection with this  
14 proceeding, is a debt for the violation by Rideaux of the federal securities laws or any  
15 regulation or order issued under such laws, as set forth in Section 523(a)(19) of the  
16 Bankruptcy Code, 11 U.S.C. § 523(a)(19).

17 **VII.**

18 IT IS FURTHER ORDERED, ADJUDGED, AND DECREED that this Court  
19 shall retain jurisdiction of this matter for the purposes of enforcing the terms of this  
20 Final Judgment.  
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VIII.

There being no just reason for delay, pursuant to Rule 54(b) of the Federal Rules of Civil Procedure, the Clerk is ordered to enter this Final Judgment forthwith and without further notice.

DONE AND ORDERED in Santa Ana, California, this 15th day of July, 2026.



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HON. DAVID O. CARTER  
UNITED STATES DISTRICT JUDGE